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Case Number: 26STCP02940 Hearing Date: September 3, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Petition for Approval for Transfer of Payment Rights

The Court defers ruling on the Petition for Approval for Transfer of Payment Rights. The hearing is continued for 60 days.

BACKGROUND

Petitioner J.G. Wentworth Originations, LLC (Petitioner) seeks approval of the transfer of certain future structured settlement payments, to which Real Party-in-Interest and Transferor Eric Finn (Finn) is entitled, in exchange for a single payment. Finn became entitled to those payments in settlement of a personal injury claim.

The annuity issuer is Pacific Life Insurance Company, and the structured settlement obligor is Pacific Life and Annuity Services Inc. Finn proposes to transfer a portion of each monthly payment, a portion of each of the two annual payments, and a portion of the single lump sum payment remaining under the annuity, retaining the balance of each.

Petitioner filed a First Amended Verified Petition and a supporting declaration from Finn. Petitioner separately filed a Notice of Related Case. No interested party filed a response.

Petitioner brought an earlier petition to transfer these payments in case No. 26STCP01881. This Court denied that petition without prejudice on July 30, 2026.

JUDICIAL NOTICE

The Court takes judicial notice on its own motion of its minute order of July 30, 2026 in case No. 26STCP01881, the related case Petitioner identified. (Evid. Code, § 452, subd. (d).)

LEGAL STANDARD

A transfer of structured settlement payment rights “is void unless a court reviews and approves the transfer and finds the following conditions are met: [¶] (a) The transfer of the structured settlement payment rights is fair and reasonable and in the best interest of the payee, taking into account the welfare and support of his or her dependents. [¶] (b) The transfer complies with the requirements of this article, will not contravene other applicable law, and the court has reviewed and approved the transfer as provided in Section 10139.5.” (Ins. Code, § 10137 [further undesignated section references are to the Insurance Code].)

The court must make express written findings that “(1) The transfer is in the best interest of the payee, taking into account the welfare and support of the payee’s dependents. [¶] (2) The payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived, in writing, the opportunity to receive the advice. [¶] (3) The transferee has complied with the notification requirements pursuant to paragraph (2) of subdivision (f), the transferee has provided the payee with a disclosure form that complies with Section 10136, and the transfer agreement complies with Sections 10136 and 10138. [¶] (4) The transfer does not contravene any applicable statute or the order of any court or other government authority. [¶] (5) The payee understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136. [¶] (6) The payee understands and does not wish to exercise the payee’s right to cancel the transfer agreement.” (Ins. Code, § 10139.5, subd. (a)(1)-(6).)

The transferee brings the petition and must establish each of those findings. (Ins. Code, § 10139.5, subds. (a), (f)(1).) Not less than 20 days before the hearing, the transferee must file with the court and serve on all interested parties a notice of the proposed transfer and the petition for its authorization, and must include with that notice the documents and notifications subdivision (f)(2) enumerates. (Ins. Code, § 10139.5, subd. (f)(2)(A)-(L).) Information the petition must contain may be supplied at the scheduled hearing through oral testimony or through documentary evidence filed with the court and made a part of the record. (Ins. Code, § 10139.5, subd. (d).)

ANALYSIS

I. Best Interest

Petitioner contends that the transfer is fair and reasonable and in Finn's best interest. According to the Petition and the supporting declaration, the proceeds will retire Finn's debts, meet his current-year tax obligations, fund his daughter's college tuition, and pay for medical insurance. Finn would retain a portion of every payment remaining under the annuity.

In determining whether the proposed transfer should be approved, section 10139.5, subdivision (b), directs the court to "consider the totality of the circumstances, including, but not limited to," 15 enumerated factors. (Ins. Code, § 10139.5, subd. (b)(1)-(15).)

Here, Finn is 59 years old and retired. He receives $7,220.67 each month under the annuity, $1,086 each month for his child, and $869 each month from Social Security. (Finn Decl., ¶ 8.) He has one minor child, identified as A. F., who is 17 and lives with him. (Ibid.) He has no court-ordered child support obligation. (Finn Decl., ¶ 8.)

The Court denied Petitioner's earlier petition on two grounds. Petitioner had neither produced the annuity contract and the qualified assignment agreement nor made the showing section 10139.5 subdivision (f)(2)(H) requires. (Minute Order, at pp. 3-4.) Additionally, Petitioner had not shown that a transaction leaving Finn with no annuity income for the nearly 16 years beginning in 2032 was fair and reasonable and in his best interest. (Minute Order, at p. 8.)

Petitioner has answered the first ground and part of the second. Finn has executed affidavits stating that he searched for the annuity contract and for the qualified assignment agreement, has no record of either, and has told Petitioner that no copy is available. (Pet., Exs. C, D.) As for the best interest showing, the instant Petition reduces the payments to be transferred from $1,977,681.47 to $1,551,681.47, and the purchase price from $800,000 to $630,000. (Minute Order, at p. 5; Pet., Ex. A, § 10.) Finn now retains $2,000 of each monthly payment and $2,000 of each annual payment from 2032 through 2047, where the earlier transaction left him nothing after February 17, 2032. (Pet., ¶ 4; Minute Order, at p. 5.) Moreover, he now states the amount he receives from Social Security, which the earlier record omitted. (Finn Decl., ¶ 8; Minute Order, at p. 6.)

However, Petitioner has not addressed one of the primary reasons the Court gave for doubting that the transaction was in Finn's best interest. On the present record, the Court again cannot find the transfer fair and reasonable and in Finn's best interest. Section 10139.5, subdivision (b)(9), directs the court to consider whether the financial terms are fair and reasonable, including the discount rate applied, the expenses and costs of the transaction, the size of the transaction, and the financial alternatives available to the payee to achieve his stated objectives. (Ins.
Code, § 10139.5, subd. (b)(9).) Those terms have moved against Finn. The earlier transaction was priced at an effective annual discount rate of 9.58% against a federal rate of 5%, and returned 67.56% of the discounted present value. (Minute Order, at p. 6.) This one is priced at 10.58% against a federal rate of 5.20%, and returns 66.36%. (Pet., Ex. A, § 10.)

The Court's earlier order questioned the intended use of the proceeds. Roughly $219,000 of the debt Finn proposes to retire, the home equity line of credit and one of the two vehicle loans, carried rates the record placed well below the rate he would pay to retire it. (Minute Order, at pp. 6-7.) Finn now describes the same obligations at the same balances and the same monthly payments. (Finn Decl., ¶ 11.) He now states the interest rate on none of them. Petitioner does not explain why retiring debt priced near 5% with money priced at 10.58% serves Finn's interest. Finn states that paying off these debts would free up over $2,000 per month of his income, yet the transaction would cost him an average of $4,637 in monthly income through 2031 and $6,137 from 2032 on. (Finn Decl., ¶¶ 5, 11.)

Likewise, Finn states that his daughter has been accepted to the University of Redlands and is to begin her degree this fall, that "[t]he tuition and fees for the university are approximately $80,000.00 a year," and that he will pay the first year at once and place three years of tuition in a college savings account. (Finn Decl., ¶ 11.) Finn executed the declaration on August 12, 2026. He does not state whether his daughter has enrolled, whether she applied for or received financial aid, what the $80,000 figure covers, or whether receipt of the purchase price is expected to affect any need-based financial aid she receives. Section 10139.5, subdivision (b)(9), requires the court to consider financial aid as an alternative available to Finn to achieve his stated objective of funding his daughter's tuition.

Parental assets are counted in computing the student aid index of a dependent student for federal need-based aid. (20 U.S.C. § 1087oo(d).) A payment of $630,000 received in the year his daughter enrolls would add to those assets. That addition could increase her student aid index substantially and reduce the need-based aid for which she qualifies. The transfer may thereby reduce the aid that would otherwise defray the tuition it is offered to fund.

The earlier order also observed that the payments Finn is selling are tax-free, but that returns on proceeds he invests would not be. (Minute Order, at p. 7.) Petitioner does not address that issue.

Under subdivision (b)(4), the court considers the terms of the transaction, including whether the payee is transferring monthly or lump sum payments and all or a portion of the future payments. (Ins. Code, § 10139.5, subd. (b)(4).) Finn would transfer $4,220.67 of each $7,220.67 monthly payment through 2031, and $5,220.67 of each such payment from 2032 through 2047. He would also transfer $2,500 of each $7,500 annual payment through 2031, $5,500 of each such payment from 2032 through 2047, and $150,000 of the $250,000 lump sum due in February 2032. (Pet., ¶ 4, Ex. C.) Within those same payment streams he retains payments totaling $761,000.

Finn's monthly income from the annuity payment, the two annual payments spread across the year, and Social Security is about $9,340. (Pet., ¶ 4, Ex. C; Finn Decl., ¶ 8.) The debt service the proceeds would retire leaves about $7,593 of that available to him each month. (Finn Decl., ¶ 11.) After the transfer he would hold about $4,702 each month through 2031 and about $3,202 each month from 2032 through 2047, with no debt service. (Pet., Ex. C; Finn Decl., ¶ 11.) The transaction therefore reduces the income available to him by roughly 38% through 2031, and by roughly 58% over the 16 years that follow.

Finn was 59 when he signed the agreement. Thus, the second period runs from his mid-sixties into his late seventies. Finn does not state what he expects his living expenses to be in those years or how he expects to meet them from the retained payments.

Neither the annuity issuer nor the structured settlement obligor may be required to divide any periodic payment between the payee and a transferee. (Ins. Code, § 10139.5, subd. (e)(3).) The retained payments are therefore not secured against Pacific Life Insurance Company by operation of the statute. The Purchase Contract provides that where the issuer, the obligor, or the court requires Petitioner to receive the entire payment, Petitioner will forward the remaining portion to Finn under a servicing arrangement to which Finn agrees. (Pet., Ex. A, § 1.C.) Petitioner does not say whether Pacific Life has agreed to divide the payments or whether Finn will instead receive his retained payments through Petitioner.

Section 10139.5 subdivision (b)(7) directs the court to consider whether the payee is likely to require future medical care and treatment for the injuries sustained in the incident that was the subject of the settlement, and whether he lacks other resources, including insurance, sufficient to cover those expenses. (Ins.
Code, § 10139.5, subd. (b)(7).) Finn states that as a retired individual he must pay most of his medical expenses out of pocket, and that he intends to use part of the proceeds to obtain medical insurance. (Finn Decl., ¶ 11.) He does not state what that coverage is expected to cost. Thus, he proposes to fund medical coverage of unstated cost out of proceeds obtained by reducing the income that would otherwise pay for it.

Several factors weigh in favor of the transfer. The Court found on the earlier petition that Finn faces a hardship situation within the meaning of subdivision (b)(13), and the declaration filed here describes the same obligations. (Minute Order, at p. 7; Finn Decl., ¶ 11.) Finn states his preference to complete the transaction. (Finn Decl., ¶¶ 3-4; Ins.
Code, § 10139.5, subd. (b)(1).) He has completed no previous transfer of these payments. (Finn Decl., ¶ 9; Ins.
Code, § 10139.5, subd. (b)(10).) He was advised in writing to seek independent professional advice and knowingly waived it in writing, as subdivision (a)(2) permits. (Pet., Ex. E [Box A]; Finn Decl., ¶ 12.)

However, section 10139.5 subdivision (b)(14) directs the court to consider “[w]hether the payee received independent legal or financial advice regarding the transaction.” (Ins. Code, § 10139.5, subd. (b)(14).) “The court may deny or defer ruling on the petition for approval of a transfer of structured settlement payment rights if the court believes that the payee does not fully understand the proposed transaction and that independent legal or financial advice regarding the transaction should be obtained by the payee.” (Ibid.) The waiver permitted by subdivision (a)(2) satisfies the finding that subdivision requires; it does not remove the court’s authority under subdivision (b)(14).

Finn received no independent advice. (Finn Decl., ¶ 12.) He recites accurately the payments he would transfer and those he would retain, and the Court accepts that he understands he is giving up those payments. (Finn Decl., ¶ 11; Pet., Ex. C.) The Court is not persuaded that he understands the financial consequences of doing so. First, he describes the retirement of about $1,746 in monthly debt service as freeing income that will let him live more comfortably, in a transaction that removes more than twice that amount from his monthly income through 2031 and more than three times it from 2032 forward. (Finn Decl., ¶¶ 5, 11.) Second, he proposes to retire debt at rates that appear to be well below the rate at which he is selling the payments, and offers no reason for doing so. (Minute Order, at pp. 6-7; Finn Decl., ¶ 11.) Third, he proposes to place tax-free income into a college savings account whose returns will be taxed, without addressing the different treatment. (Minute Order, at p. 7; Finn Decl., ¶ 11.) Finally, he proposes to fund his daughter’s tuition from the proposed lump sum payment that may reduce the need-based aid available for it, without addressing whether she has applied for aid or what the payment would do to any award. (Finn Decl., ¶ 11.) Thus, on the present record, the Court believes that Finn does not fully understand the proposed transaction and that independent legal or financial advice regarding the transaction should be obtained by him.

Petitioner has advised Finn that if he retains counsel, a licensed certified public accountant, or a licensed actuary in connection with this Petition, Petitioner will pay the fees, up to $1,500 in aggregate, regardless of whether the transfer is approved. (Ins. Code, § 10139.5, subd. (h); Pet., Ex. A, § 10; Ex. B, at p. 2.) The cost of the advice therefore falls on Petitioner, not on Finn.

Weighing the factors together on the present record, the Court cannot find that the transfer is fair and reasonable and in Finn’s best interest, taking into account the welfare and support of his dependent child. The Court defers ruling under subdivision (b)(14) and addresses the deferral and each omission below.

II. Disclosure Requirements

"No direct or indirect transfer of structured settlement payment rights by a payee to which this article applies shall be effective, and no structured settlement obligor or annuity issuer shall be required to make any payment directly or indirectly to a transferee, unless all of the provisions of this section are satisfied." (Ins. Code, § 10136, subd. (a).)

Subdivision (b) requires the transferee, 10 or more days before the payee executes a transfer agreement, to provide the payee with a separate written disclosure statement "accurately completed with the information that applies to the transfer agreement," in at least 12-point type. Here, the disclosure statement is dated July 31, 2026, Finn acknowledged in signing it that he received it at least 10 days before signing the transfer agreement, and he executed the Purchase Contract on August 12, 2026. (Pet., Ex. B, at pp. 1, 3; Ex. A, signature page.)

The disclosure states the aggregate amount of the payments to be transferred, the purchase price, and the discounted present value with the 5.20% Internal Revenue Service rate used to compute it. The disclosure further states the 10.58% discount rate used to calculate the purchase price, the equivalent annual interest rate a comparable loan would carry, an itemization of expenses totaling $0, and the advisories the subdivision prescribes. (Pet., Ex. B, at pp. 1-2.) Likewise, the Purchase Contract sets out those terms and the 13 items subdivision (c) enumerates, including the cancellation rights statement placed adjacent to the space for Finn's signature. (Pet., Ex. A, § 10, signature page.) The contract designates California law, and the Court has identified no provision within it that section 10138 prohibits. (Pet., Ex. A, § 9.G; Ins. Code, § 10138, subd. (a).)

Finn states that he does not wish to exercise his right to cancel the transfer agreement. (Finn Decl., ¶ 13; see Ins. Code, § 10136, subd. (e).) All court costs and filing fees are to be paid by the transferee, and Petitioner states that it has paid them and has deducted none of them from the purchase price. (Ins. Code, § 10139.5, subd. (g); Pet., § VIII.)

Accordingly, the disclosure statement and the transfer agreement satisfy sections 10136 and 10138.

III. Petition Contents

"Every petition for approval of a transfer of structured settlement payment rights, except as provided in subdivision (d), shall include, to the extent known after the transferee has made reasonable inquiry with the payee, all of the following: [¶] (1) The payee's name, address, and age. [¶] (2) The payee's marital status, and, if married or separated, the name of the payee's spouse. [¶] (3) The names, ages, and place or places of residence of the payee's minor children or other dependents, if any. [¶] (4) The amounts and sources of the payee's monthly income and financial resources and, if presently married, the amounts and sources of the monthly income and financial resources of the payee's spouse. [¶] (5) Whether the payee is currently obligated under any child support or spousal support order .... [¶] (6) Information regarding previous transfers or attempted transfers ...." (Ins. Code, § 10139.5, subd. (c).)

"[I]nformation required to be included in every petition for approval of a transfer of structured settlement payment rights pursuant to paragraphs (2), (3), (4), (5), and (6) of subdivision (c) ... shall be deemed to be included in the petition if it is provided at the scheduled hearing on the proposed transfer through oral testimony or documentary evidence filed with the court and made a part of the record consistent with the rules of evidence and procedure." (Ins. Code, § 10139.5, subd. (d).)

Here, Petitioner has complied with paragraphs (1), (2), (4), and (5). The Petition gives Finn's name and age and states that he resides in Los Angeles County, and the declaration filed with the Petition gives his street address. (Pet., ¶ 2, § III; Finn Decl., ¶ 8.) The Petition states that Finn is divorced and states the amounts and sources of his monthly income. (Pet., § III, § VI, ¶ 1.) Finn states that he is subject to no court-ordered child support obligation. (Finn Decl., ¶ 8.)

Petitioner has partly complied with paragraphs (3) and (6). Neither the

Petition nor the declaration gives the minor child's name, though both give her age and the declaration states that she lives with Finn. (Pet., § III; Finn Decl., ¶ 8.) The Petition identifies the earlier case and its July 2026 disposition. (Pet., § VI, ¶ 8 & fn. 1.) Subdivision (b)(12) asks a separate question, whether the payee has attempted transfers with an entity other than the transferee. However, the Petition responds by cross-reference to its response to the subdivision (b)(11) question. (Pet., § VI, ¶¶ 8-9.) Subdivision (d) permits Petitioner to provide the information paragraphs (3) and (6) call for by documentary evidence filed before the continued hearing.

IV. Notice and Service

Not less than 20 days before the scheduled hearing, the transferee must file with the court and serve on all interested parties notice of the proposed transfer and the petition for its authorization. (Ins. Code, § 10139.5, subd. (f)(2).) Interested parties include the payee. (Ins. Code, § 10134, subd. (g).) Petitioner served the First Amended Verified Petition and the supporting declaration on August 12, 2026, for a hearing set September 3, 2026, satisfying the 20-day requirement as to the parties served. (Proof of Service of First Amended Verified Petition, Service List.) The requirements of subdivision (f)(2) and Petitioner's compliance or lack of compliance with them are as follows:

(A) A copy of the transferee's current petition and any other prior petition, whether approved or withdrawn. Petitioner has complied. The Petition identifies the earlier case and its disposition, and the Notice of Related Case identifies that case as a petition of Petitioner. (Pet., § VI, ¶ 8 & fn. 1; Notice of Related Case, ¶ 1.)

(B) A copy of the proposed transfer agreement and disclosure form. Petitioner has complied. (Pet., Exs. A, B.)

(C) A listing of each of the payee's dependents, together with each dependent's age. Petitioner has complied. The Petition identifies one minor child and her age. (Pet., § III.) Subparagraph (C) calls for ages and does not call for names; the omission of the child's name is a subdivision (c)(3) matter and is addressed above.

(D) A copy of the disclosure required in subdivision (b) of section 10136. Petitioner has complied. (Pet., Ex. B.)

(E) A copy of the annuity contract, if available. (F) A copy of any qualified assignment agreement, if available. (G) A copy of the underlying structured settlement agreement, if available. (H) Where a document described in subparagraph (E), (F), or (G) is unavailable, a showing satisfying the court that reasonable efforts to locate and secure a copy have been made, including inquiry with the payee. Petitioner has complied. Finn executed three affidavits stating that he searched for the qualified assignment, the annuity contract, and the underlying settlement agreement, that he has no record of any of them, and that he told Petitioner no copy is available. (Pet., Exs. C, D.) That is the showing the Court accepted as to the settlement agreement on the earlier petition. (Minute Order, at p. 3.)

(I) Proof of service showing compliance with the notification requirements of this section. Petitioner has complied in part. Each proof of service lists Finn's address as "[To Be Provided At Hearing]." (Proof of Service, Service List.) The record therefore shows no service on the payee. Finn's street address appears in the declaration Petitioner filed with the Petition. (Finn Decl., ¶ 8.) Thus, the omission is not for want of the address.

(J) Notification that any interested party is entitled to support, oppose, or otherwise respond to the transferee's petition, either in person or by counsel. Petitioner has complied. (Notice of Hearing, at p. 2.)

(K) Notification of the time and place of the hearing and of the manner in which and the time by which written responses must be filed. Petitioner has complied in part. The Notice of Hearing gives the date, the time, the courthouse, and the deadline for written responses, and it identifies Department 316. (Notice of Hearing, at pp. 1-2.) The matter is in Department 515, and the only paper that says so was served August 19, 2026. (Notice of Case Reassignment.)

(L) Notice to the payee's attorney of record at the time the structured settlement was created, where the payee entered into the structured settlement within five years before the date of the transfer agreement. Petitioner has complied. Petitioner served the notice on Dordick Law Corporation. (Notice to the Settlement Attorney of Record, Ex. A.)

Because the record shows no service on Finn, Petitioner has not yet satisfied the notification requirements of section 10139.5, subdivision (f)(2).

The continuance affords Petitioner more than 20 days in which to serve Finn with the Petition, the supporting papers, and notice of the time and place of the continued hearing, and to file proof of that service.

V. Required Findings

Section 10139.5, subdivision (a), conditions approval on six express written findings. The Court addresses each on the present record.

(1) The Court cannot find on the present record that the transfer is in Finn’s best interest, taking into account the welfare and support of his dependent child.

(2) Finn has been advised in writing by Petitioner to seek independent professional advice regarding the transfer and has knowingly waived, in writing, the opportunity to receive that advice. (Pet., Ex. E [Box A]; Finn Decl., ¶ 12.) Petitioner also advised Finn of his right to seek independent counsel and financial advice in connection with this petition, and of Petitioner’s obligation to pay the fees of counsel, an accountant, or an actuary in an aggregate amount not exceeding $1,500. (Ins. Code, § 10139.5, subd. (h); Pet., Ex. A, § 10; Ex. B, at p. 2.)

(3) The Court cannot find on the present record that Petitioner has complied with the notification requirements of paragraph (2) of subdivision (f), because the record shows no service on Finn. Petitioner has provided Finn with a disclosure form that complies with section 10136, and the transfer agreement complies with sections 10136 and 10138.

(4) The transfer contravenes no applicable statute and no order of a court or other government authority. The order in case No. 26STCP01881 denied the earlier petition without prejudice and restrains nothing. (Minute Order, at p. 8.)

(5) Finn states that he understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by section 10136. (Finn Decl., ¶ 13.) Finn also recites the payments he would transfer and those he would retain, in figures matching the annuity schedule. (Finn Decl., ¶ 11; Pet., Ex. C.) The Court so finds. The finding is limited to the terms of the agreement and of the disclosure statement. It does not extend to the effect of the transaction on Finn’s income or to the expectation recorded in the same

paragraph that the retained payments will come to Finn from Pacific Life. The Court addresses the effect on his income under subdivision (b)(14) above.

(6) Finn understands and does not wish to exercise his right to cancel the transfer agreement. (Finn Decl., ¶ 13.)

VI. Deferral

On the present record, the Court believes that Finn does not fully understand the proposed transaction and that independent legal or financial advice regarding the transaction should be obtained by him. (Ins. Code, § 10139.5, subd. (b)(14).) The Court therefore defers ruling on the Petition pending his receipt of that advice. The Court also cannot make the findings subdivision (a)(1) and (a)(3) require on the papers before it. The service defect is curable, and every fact the best interest analysis lacks is a documentary fact within the knowledge of Finn or Petitioner. Subdivision (d) permits that showing to be completed by documentary evidence filed with the court and made a part of the record. (Ins. Code, § 10139.5, subd. (d).) Rather than deny the Petition a second time, the Court continues the hearing for 60 days.

Finn shall obtain independent legal or financial advice regarding the transaction from counsel, a licensed certified public accountant, or a licensed actuary of his choosing. Petitioner shall pay the fees of that advisor up to $1,500 in aggregate, regardless of whether the transfer is approved and regardless of whether the advisor files any document or appears at the hearing. (Ins. Code, § 10139.5, subd. (h).) Petitioner’s own counsel, accountant, or actuary may not advise Finn. (Ibid.) Absent a showing at the continued hearing that Finn has received that advice, the Petition will be denied. (Ins. Code, § 10139.5, subd. (b)(14).)

Petitioner is directed to file and serve the following no later than 10 court days before the continued hearing.

(1) Proof of service on Finn of the First Amended Verified Petition, the supporting declaration, the Notice of Hearing, and a notice stating the date, time, and department of the continued hearing, served not less than 20 days before the continued hearing. (Ins. Code, § 10139.5, subd. (f)(2), (f)(2)(K).)

(2) A supplemental declaration signed by Finn stating each of the following:

(a) That he has received independent legal or financial advice regarding the transaction, the name and professional license of the advisor, and the date of the advice.

(b) For each obligation he proposes to retire with the proceeds, the creditor, the current balance, the interest rate, and the monthly payment.

(c) Whether his daughter has enrolled at the University of Redlands for the 2026-2027 academic year; what the $80,000 figure in his declaration covers, and in particular whether it includes housing and meals; and whether she applied for financial aid. If she received an award, the award letter for the current academic year shall be attached. The declaration shall also state whether he expects receipt of the purchase price to affect any award.

(d) The anticipated cost of the medical insurance he proposes to obtain with the proceeds.

(e) His anticipated monthly living expenses from February 2032 forward and the means by which he expects to meet them from the payments he retains and from any other income, employment, or asset, including any not described in the current record.

(f) The name and place of residence of his minor child, and whether he has attempted a transfer of these payments with any entity other than Petitioner. (Ins. Code, § 10139.5, subds. (b)(12), (c)(3), (c)(6), (d).)

(3) A supplemental declaration on behalf of Petitioner stating whether Pacific Life Insurance Company or Pacific Life and Annuity Services Inc. has agreed to divide the payments as the Purchase Contract proposes, or whether the retained portions are to be paid to Finn through Petitioner under section 1.C of the Purchase Contract.

Petitioner may also file a supplemental memorandum addressing why retiring obligations with interest rates below the discount rate applied to the transfer serves Finn’s interest. The memorandum may also address the tax treatment of returns on proceeds placed in a college savings account. Petitioner and Finn may modify the terms of the transaction and file an amended petition and disclosure statement reflecting the modified terms, provided the amended papers are filed and served in compliance with section 10139.5, subdivision (f).

CONCLUSION

The Court defers ruling on the Petition for Approval for Transfer of Payment Rights. The hearing is continued for 60 days.